

REPORT ON THE PERFORMANCE AND FINANCIAL POSITION OF EACH OF THE SUBSIDIARIES, ASSOCIATES & JOINT VENTURE COMPANIES FOR FY 2024-25

[Pursuant to Section 134(3)(q) of the Companies Act, 2013 read with Rule 8(1) of the Companies (Accounts) Rules, 2014]

Jharkhand Central Railway Limited (JCRL) is a Joint Venture Company between Central Coalfields Limited, IRCON International Limited and Govt. of Jharkhand. The company was formed under Companies Act 2013.

Name of Promoter entitles	Share Holding Pattern
Central Coalfields Limited	64%
M/s IRCON International Limited	26%
Govt. of Jharkhand	10%

The authorized share capital of the company is 500.00 Crores and Paid-up share capital is ₹100.98 Crores.

The performance of JCRL is as under:

- Jharkhand Central Railway Limited having CIN: U45201JH2015G0I003139 was incorporated on 31.08.2015.
- Subsequently the following project was assigned to be taken up by JCRL.
 - Shivpur – Kathautia new BG Electrified Rail Line Project – 49.085 Km
 - Original project cost- ₹1799.64 Cr
 - Revised project cost- ₹2,564.34 Cr

JCRL had signed a project execution agreement with IRCON on 28th March 2016. Railway Board has granted in principle approval for construction of Shivpur-Kathautia New Line Project to be taken up through the joint venture JCRL. The total length from Kathautia to Shivpur is 49.085 Kms. Detail Project Report (DPR) has been approved by the ministry of Railways. An inflated mileage of 60% on a chargeable distance of 49.085 km was approved on 13th June 2018 by the Ministry of Railways for a period of 5 years. Concession Agreement between JCRL & East Central Railway (ECR) has been signed on 04-12-2018.

Land acquisition is almost complete and working permission on forest land after deposition of NPV, CA and WMP amounts after getting Stage-I Forest clearance has also been obtained. All Government and Private land have been handed over to JCRL except 5.43 ha of Raiyati Land. Stage II forest clearance was obtained on 19.04.2024.

JCRL has achieved financial closure on May 05, 2022. The Company has availed loan facility amounting to ₹1259.75 Crores from PNB led consortium of banks and total disbursement at the end of the FY 2025-26 was ₹1258.28 Crores.

The project is under progress and the original scheduled date of completion of the project was June, 2025 which has been revised to June, 2026 in the 57th Board Meeting of JCRL held on 14.01.2025. The total CWIP of the project as on 31.03.2026 is ₹1,794.89Cr(Including GST) which is 99.74% of the total original project cost of ₹1799.64 Crores and 70.18% of the revised project cost of ₹2,564.34 Crores. Total cost of progressive work executed under civil construction including escalation up to 31.03.2026 is of ₹1,058.72 Crs including GST.

The work has been planned to be executed through 18 packages. All the eighteen packages have been awarded by 31.03.2026 and Progress of work at site are as enumerated below:

Sr. No.	Pkg. No.	Awarded Cost (Cr.)	Revised Contract Value (Cr.)	Financial Progress (Cr.)	Financial Progress (%)	Physical Progress (%)
1.	Pkg-I	109.37	226.57	219.79	97.01	98.53
2.	Pkg-II	114.22	157.37	95.74	60.84	61.84
3.	Pkg-III	110.75	155.26	117.51	75.69	76.61
4.	Pkg-IV	128.65	186.32	134.98	72.45	76.17
5.	Pkg-IVA	44.37	44.37	3.77	8.50	9.51
6.	Pkg-IVB	43.80	43.80	3.98	9.09	10.59
7.	Pkg-V	109.24	139.46	132.71	95.16	95.89
8.	Pkg-VI	173.76	186.27	179.28	96.25	97.59
9.	Pkg-VII	24.09	33.78	5.93	17.55	18.06
10.	Pkg-VIIIA	81.32	105.77	69.41	65.62	67.12
11.	Pkg-VIIIB	80.89	80.89	80.47	99.48	100
12.	Pkg-VIIIC	72.34	72.34	2.57	3.55	4.06
13.	Pkg-IXA	29.69	29.69	20.93	70.50	71.79
14.	Pkg-IXB	37.27	37.26	6.43	17.26	18.76
15.	Pkg-IXC	7.08	7.08	3.13	44.21	45.69
16.	Pkg-XA	39.42	39.41	18.77	47.63	48.14
17.	Pkg-XC	5.42	5.41	2.51	46.40	47.86
18.	Pkg-PLW	9.29	9.29	9.29	100	100
Total		1,220.97	1,560.34	1,107.20	70.95%	71.64%

2. Project Financing:

The original estimated project cost for the Shivpur–Kathautia Rail Line Project under JCRL, as per the approved Detailed Project Report (DPR), was ₹1,799.64 Crores. As per the Memorandum of Understanding (MoU) signed between the Ministry of Railways, Ministry of Coal, and the Government of Jharkhand, the project is to be financed in a 30:70 equity-to-debt ratio.

Accordingly, the debt component amounts to ₹1,259.75 Crores. A key milestone was achieved on 5th May 2022, when the company secured financial close for the entire debt portion. The first disbursement of ₹125.12 Crores was received on 31st March 2023.

During the financial year 2025–26, an amount of ₹229.12 Crores was disbursed. The total cumulative disbursement stood at ₹1,258.28 Crores as of 31st March 2026.

Subsequently, during the 57th Board Meeting of JCRL held on 14th January 2025, the revised project cost was approved at ₹2,564.34 Crores. To meet the additional requirement of ₹764.70 Crores, further funds are being arranged in line with the original funding pattern (30% equity and 70% debt).



3. Land Acquisition status:

Type of Land	Requisitioned (Ha)	Acquired/ Handed over (Ha)	Yet to be acquired/ handed over (Ha)	Remarks
Forest	368.72	368.72	0	The work has been stopped by villagers at various location stating that the land belongs to them.
Govt/GM	20.34	20.34	0	All Govt Land Transferred to Railways.
Private	158.58	153.15	5.43	Disbursement is pending and the work has been stopped by villagers at various locations
Total	547.64	542.21	5.43	

4. Financial Position:

A. During the year 2025-26, the Authorized Capital of the company was ₹500.0 Crores.

Name of Shareholder	As at 31st March, 2025		As at 31st March, 2024	
	No. of Shares Held (Face value of ₹ 10 each)	% of Total Shares	No. of Shares Held (Face value of ₹10 each)	% of Total Shares
Central Coalfields Limited	6,46,31,232	64.00	6,46,31,232	64.00
IRCON International Ltd.	2,62,56,438	26.00	2,62,56,438	26.00
Govt. of Jharkhand	1,00,98,630	10.00	1,00,98,630	10.00
TOTAL	10,09,86,300	100.00	10,09,86,300	100.00

B. Summarized Balance Sheet:

Particulars	As at 31.03.2026 (₹ in Lakh)	As at 31.03.2025 (₹ in Lakh)
Equity and Liabilities		
Equity		
Equity Share Capital	10,098.63	10,098.63
Instruments entirely equity in nature	64,498.20	43,851.36
Other Equity	2,431.48	1,783.97
Equity attributable to Equity holders of the Company	77,028.31	55,733.96
Non- Controlling Interest	-	-
Total Equity	77,028.31	55,733.96
Liabilities		
Non-current Liabilities	-	-
Financial Liabilities		
(i) Borrowings	1,25,827.74	1,02,916.97
(ii) Lease Liabilities	-	-
(iii) Other Financial Liabilities	-	-
Provisions	-	-
Deferred Tax Liabilities (Net)	-	-
Other Non-Current Liabilities	-	-
Total Non-Current Liabilities	1,25,827.74	1,02,916.97
Current Liabilities		
Financial Liabilities		
(i) Borrowings	-	-
(ii) Lease Liabilities	-	-
(iii) Trade Liabilities	-	-
Total outstanding dues of micro, small and medium enterprises	-	-

Particulars	As at 31.03.2026 (₹ in Lakh)	As at 31.03.2025 (₹ in Lakh)
Total outstanding dues of Creditors other than micro, small and medium enterprises	104.23	145.47
(iv) Other Financial Liabilities	25.84	32.41
Other Current Liabilities	104.89	77.62
Provisions	-	-
Current Tax Liabilities (Net)	-	-
Total-Current Liabilities	234.96	255.50
TOTAL-EQUITY AND LIABILITIES	2,03,091.01	1,58,906.43
Assets		
Non-Current Assets		
Property, Plant & Equipment	7.35	9.30
Capital Work in Progress	-	-
Exploration and Evaluation Assets	-	-
Intangible Assets	-	0.14
Intangible Assets under Development	1,79,488.77	1,36,919.36
Financial Assets		
(i) Investments	-	-
(ii) Loans	-	-
(iii) Other Financial Assets	1.50	1.50
Deferred Tax Assets (Net)	0.41	0.23
Other Non-Current Assets	3,561.57	14,827.08
Total Non-Current Assets	1,83,059.60	1,51,757.61
Current Assets		
Inventories	-	-
Financial Assets		
(i) Investments	-	-
(ii) Trade Receivables	-	-
(iii) Cash & Cash Equivalents	7,404.38	575.54
(iv) Other Bank Balances	12,157.37	6,041.56
(v) Loans	-	-
(vi) Other Financial Assets	426.26	449.45
(c) Current Tax Assets (Net)	26.16	59.43
Other Current Assets	17.24	22.84
Total Current Assets	20,031.41	7,148.82
TOTAL - ASSETS	2,03,091.01	1,58,906.43

C. During the year ended 31.03.2026, the Capital Structure stands as under:

Issued, Subscribed & Paid-up Share Capital

Shareholders	No. of Shares	Rate	Amount in ₹
CCL	6,46,31,232	₹10/- each	64,63,12,320/-
IRCON	2,62,56,438	₹10/- each	26,25,64,380/-
Govt. of Jharkhand	1,00,98,630	₹10/- each	10,09,86,300/-
Total Paid up Equity Share Capital			1,00,98,63,000/-

During the year ended 31.03.2026, JCRL earned Profit after tax (PAT) amounting to ₹647.51 Lakhs against Profit after tax (PAT) of ₹477.50 Lakhs earned in the year ended 31.03.2025.



Management Discussion & Analysis Report

OVERVIEW

The objective of this report is to convey the Management's perspective on the external environment and Coal Sector and CCL as a subsidiary of Coal India Limited (CIL), as well as strategy, operating and financial performance, material developments, risks and opportunities and internal control systems etc. in the Company during FY2025-26. This should be read in conjunction with the Directors' Report, Company's financial statements, the schedules and notes thereto and other information included elsewhere in this Annual Report and Annual Accounts 2025-26. The Company's financial statements have been prepared in accordance with Indian Accounting Standards ('Ind AS') complying with the requirements of the Companies Act, 2013, as amended from time to time.

GLOBAL ECONOMY

The global economy in 2026 is operating in an environment shaped by elevated geopolitical uncertainty, shifting trade policies, and rapid advances in AI. Global growth, which had been projected at 3.4% supported by technology-driven investment and accommodative financial conditions, has since been revised downward to 3.1% following the escalation of geopolitical conflicts. International institutions are cautious that these disruptions could adversely impact commodity markets, inflation expectations, trade flows, supply chains and broader financial conditions. Inflation is now projected at 4.4% in 2026 before moderating in 2027, with the impact expected to be more pronounced in emerging markets.

Risks remain tilted to the downside, as geopolitical tensions, trade related disputes, elevated fiscal deficits, and financial market sensitivity continue to weigh on the outlook. The International Monetary Fund (IMF) notes that prolonged adverse scenarios could bring global growth down to as low as 2.5% in 2026, with commodity importing emerging economies bearing a disproportionate share of the impact.

ECONOMIC OUTLOOK

According to the IMF's April 2026 World Economic Outlook, global growth is projected at 3.1% in 2026 and 3.2% in 2027 under the reference scenario, reflecting a downward revision from the pre-conflict outlook following the escalation of tensions in West Asia. The outlook remains shaped by elevated energy prices, supply

chain disruptions, inflationary pressures, and tighter financial conditions arising from the ongoing geopolitical environment. Advanced economies are expected to grow by 1.8% in 2026, supported by resilient labour markets, technology investments, and selective fiscal support measures. The United States is projected to expand by 2.3%, aided by policy incentives and continued private sector activity, while the Eurozone is expected to record relatively moderate growth of 1.1% amid persistent energy and industrial challenges. Emerging markets are expected to continue outperforming advanced economies despite external headwinds. China is projected to grow by 4.4% in 2026, supported by domestic stimulus measures and easing trade pressures, while India is expected to remain among the fastest-growing major economies, driven by resilient domestic demand, infrastructure investments, and manufacturing expansion. Headline inflation rises to 4.4% in 2026 and then dips to 3.7% in 2027. Advanced economies approach targets gradually. The United States lags slightly in this regard. Policy rates trend downward in the United States and the United Kingdom. They hold steady in the euro area and inch up in Japan. World trade growth moderates to 2.6% in 2026 due to tariff realignments. Technology exports continue to lend vital support.

(Source: World Economic Outlook (IMF).

Indian Economy

The outlook for the Indian economy remains positive and stable, with real GDP growth for FY 2026-27 projected between 6.8% and 7.2%. These estimates reflect India's ability to sustain strong growth momentum despite prevailing global uncertainties. However, geopolitical tensions in West Asia and fluctuations in global crude oil prices may continue to exert pressure on the Indian Rupee and external balances in the near term. Nevertheless, supported by resilient foreign exchange reserves, stable domestic demand, and prudent policy measures, India remains well-positioned to manage external volatility while maintaining macroeconomic stability. Government spending on infrastructure will continue to provide solid support. Private sector investments keep rising steadily. Policy measures and capacity building further reinforce the manufacturing base. The services sector holds its reliable growth path. Digital progress and resilient exports lend additional strength. (Source: PIB)



Further, Government of India catalyzing economic progress through policy initiatives measures like:

- National Manufacturing Mission which aims to expand domestic manufacturing share to 25 per cent of GDP by 2047, reinforcing India's global manufacturing position
- Leverage public-private partnerships and focus on the adoption of frontier technologies such as clean-tech manufacturing.
- Accelerate AI-driven inclusive growth to establish India as a global leader, targeting a USD1.7 tn economic impact by 2035
- Next-Gen GST: GST 2.0 aims to modernize compliance, rationalize tax slabs and exempt essentials, enhancing disposable income and empowering small businesses.
- Major support in the Union Budget 2026-27 for India Semiconductor Mission (ISM) 2.0, Electronics ecosystem expansion (A USD 4.2 bn outlay to enhance electronics component production capacity), accelerating infrastructure investment (Public capex rises to USD130 bn) and Tax incentives to support digital growth

The framework seeks to deepen formalization and strengthen competitiveness by fostering innovation, promoting inclusive growth and advancing sustainability.

A. INDUSTRY STRUCTURE AND DEVELOPMENT

Indian Power Sector:

Demand and Supply India's power sector witnessed significant advancements in FY 2025-26, highlighted by a record peak power demand of 245 GW, met with resilience and improved energy infrastructure. India's power sector has shown strong growth, with electricity generation 1,830 billion units in FY 2024-25 and 1,848 billion units in FY 2025-26, witnessing 1% Y-o-Y growth. Capacity additions were robust at 12%, bringing total installed capacity to 533 GW in FY 2025-26 compared to 475 GW in FY 2024-25. Notable strides were made in renewable energy, with an additional 55 GW capacity added in FY 2025-26, and 7G W coal-based plant capacity addition in same period to meet rising demand. As per CEA, India is projected to witness coal (including lignite) installed capacity requirement of 291 GW by FY 2031-32 to meet round the clock power demand. With initiatives like universal electrification, improved rural power availability,

and enhanced energy conservation efforts, India is on a robust path to becoming a global energy leader. Market drivers India's power sector is experiencing rapid growth, driven by several key macroeconomic factors. As per World Economic Forum, the country's population is projected to reach 1.515 billion by 2030, with urbanization accelerating the demand for electricity. Notably, India's per capita electricity consumption has surged to 1,460 kWh in 2024-25, which is estimated to reach 2,000 kWh by 2030 and 4,000 kWh by 2047. India's installed generation capacity stood at 533 GW as of March 31, 2026, with 56 GW of capacity added during FY 2025-26. The share of thermal capacity in the total installed generation mix declined from 61% in FY 2020-21 to 47% in FY 2025-26, while the share of renewable capacity surged from 25% to 42%.

i) Coal- Primary source of Energy:

Coal remains the predominant indigenous energy sources in the country. The energy security of the country and its prosperity are integrally linked to efficient and effective use of this abundant, affordable and dependent fuel, coal. Further, Coal is poised to remain a significant component of India's energy landscape for the foreseeable future, primarily to sustain the country's rising living standards and meet the increasing energy demands of its rapidly growing economy. As one of the primary sources for energy generation, coal is projected to see a continued rise in demand through 2035 and beyond, driven by the robust expansion of the Indian energy sector.

Several factors influence the elasticity of coal demand, including economic growth, improvements in energy efficiency, the development of alternative uses for coal, and advancements in renewable energy technologies. Despite the global shift towards cleaner energy sources, coal remains a critical resource for India, where it plays a vital role in ensuring energy security and affordability.

The importance of coal in India's energy landscape remains significant, even as the country navigates the challenges of integrating renewable energy sources into its energy mix. While there is a growing global consensus on the need to gradually phase down coal to mitigate greenhouse gas emissions and promote cleaner fuels, coal continues to play a crucial role in meeting the energy demands of a rapidly developing economy.

Coal India Limited (CIL) and its subsidiaries accounted for 768.19 MT during 2025-26 as compared to a production of 781.05 MT 2024-25 showing a marginal negative growth of 2%.



**ii) CENTRAL COALFIELDS LIMITED AS A
SUBSIDIARY OF COAL INDIA LIMITED.**

(in Million Tonnes)

Geological Resources in CIL & Additional CIL Blocks of CCL Command Area are given below:

(Figures in Billion Tonnes)

	Proved	Indicated	Inferred	Total
Total Coal Reserve	21.18	5.51	0.35	27.04

Out of 400.715 Billion Tonnes of geological resources of coal estimated in India, CIL Blocks of CCL Command Area has 27.04 BT as on 01.04.2025, which accounts for **6.74% of total reserves in India.**

iii) Coal Dispatch Target as per AAP:

Coal Dispatch Target as per AAP of CCL in 2026-27 is indicated below. Sector wise break-up are as under:

Sector	2026-27
Steel (Coking)	1.75
Power (U)	76.4
Power (Captive)	1.65
Fertilizer	0.15
Cement	0.01
Steel CPP & CPSUs	1.01
Others	19.03
Total	100

iv) Coal Despatch

(Fig in MT)

Sector	2019-20 Actual	2020-21 Actual	2021-22 Actual	2022-23 Actual	2023-24 Actual	2024-25 Actual	2025-26 Actual
Power	53.134	52.896	59.17	64.56	69.62	70.66	63.68
Steel (Incl. Steel CPP)	1.961	1.236	1.477	1.76	1.74	1.71	1.86
Fertilizers	0.143	0.13	0.115	0.11	0.12	0.15	0.10
Others*	12.883	11.006	11.28	9.06	12.02	13.52	10.67
Total	68.121	65.268	72.04	75.49	83.52	86.04	76.31

* Others include E-auction, erstwhile Non-Core Consumers, Sponge Iron and State Agencies.

v) Coal Availability

The actual coal production for 2025-26, Budgeted production for 2026-27 as per Proposed AAP from existing mines, completed projects, on-going projects and future projects of CCL is given below:

(Fig in MT)

Group	2020-21 Actual	2021-22 Actual	2022-23 Actual	2023-24 Actual	2024-25 Actual	2025-26 Actual	2026-27 (AAP)
Existing Mines	0.18	0.146	0.13	0.137	0.13	0.11	0.08
Completed Projects	31.89	11.269	13.42	15.036	17.62	13.84	13.77
On-going Projects	30.52	57.436	62.54	70.881	69.79	68.25	82.15
Future Projects	-	-	0		0	0	0
Total	62.59	68.850	76.09	86.054	87.54	82.20	96.00



vi) Productivity:

The OMS position of CCL is as below:

(Fig in MT)

	2019-20 Actual	2020-21 Actual	2021-22 Actual	2022-23 Actual	2023-24 Actual	2024-25 Actual	2025-26 Actual
UG	0.54	0.44	1.17	2.13	2.03	1.66	0.89
OC	10.06	9.57	10.16	10.68	12.62	13.42	17.51
OVER ALL	8.49	8.39	9.37	10.22	8.98	9.01	8.17

vii) STRENGTH AND WEAKNESSES, OPPORTUNITIES AND THREATS (SWOT ANALYSIS)

Strength	Weaknesses
➤ High coal reserves with huge production potential. The coal reserves include non-coking coal (used in power plants) as well as coking coal (used in steel plants). ➤ Infrastructure available in almost all Coal Blocks: All coalfields of CCL have a reasonably good rail & road network and thus planning & implementation of projects become easier with smooth transportation of man and machineries as well. This rail & road network further enables swift movement of Coal to the consumer. ➤ Skilled and diversified Manpower with experience available in sufficient numbers: CCL has been in the business of coal mining for over 45 years. Its manpower strength as on 31.03.2026 is 32079 which comprises of skilled HEMM operators and manpower in different discipline and trades, who are well conversant with their jobs. ➤ Application of information technology: Owing to the remoteness of mining areas, implementation and operation of IT initiatives was a challenge in early days specifically in view of absence of reliable network infrastructure. However, over the period of last 10 years, several breakthrough initiatives have been taken and all Areas as on 31.03.2023 are covered under Mobile connectivity and centralized Internet Leased Line services. Besides, the company has its own WAN (Wide Area Network) sourced through two major reputed service providers thereby ensuring redundancy in connectivity. Additionally structured LAN (Local Area Network) for all users has been established for harnessing benefits of ERP and e-office, which enables faster sharing of information and data-based decision-making process. ➤ Very low employee attrition rate: The salary and wages offered to the employees in CCL are the best in the Coal Mining Industry. This has resulted in a very low attrition of employees. The performance related pay introduced since FY 2007-08 for executives and wage revision for non-executives has further boosted the morale of employees. ➤ Strong and consistent track record of growth and financial performance.	➤ Most of the newly explored coal blocks are under forest cover, which will require statutory clearances like FC, FRA, and other statutory levies. These clearances are obtained through cumbersome processes and are time consuming. ➤ The command area of CCL has high population density and therefore requires substantial R&R activities causing delay in start of projects. ➤ Possession of land is quite difficult in CCL due to variety of issues such as presence of GM JJ land, Form-H issues, CS/RS issues, doubtful ownership issues, overlapping issues etc. All these aspects cause delay in start of projects. ➤ Difficult geomining conditions such as old workings, fire and subsidence, highly dipping deposits, multiple seams etc. ➤ Relatively inferior coal quality as compared to other countries due to drift formation nature of India. ➤ Constantly increasing demand for salary hike by employees will further overload the cost components, structure and profitability may get minimized.



Opportunity	Threats
➤ The demand for coal is rising day by day by strong economic growth in India and it is expected that the demand-supply gap of coal is likely to increase in future and thus the market opportunities are going to increase and expand day by day. ➤ Outsourcing of production processes: CCL can also resort to outsourcing of OBR removal and coal production, wherein the departmental capacity is already utilized or deployment of departmental equipment is not economical. Even marginal deposits and thin seam operations can be done through outsourcing, at much cheaper cost than that by departmental resources. ➤ Opportunities for value addition of its products through sizing, washing or conversion to Liquid and Gas: The price of washed coking coal is 3-4 times of raw Coking Coal. Different washeries of the company operate upon this to take advantage of the price differential beyond the available capacity of the projects. ➤ Wide Scope for promoting alternative usage of coal with relatively lesser carbon footprint through adoption of coal to liquid and coal to gas technologies ➤ Though rapidly evolving renewable energy is one of the threats for coal sector, but it may be considered as an opportunity for diversification into solar, coal gasification etc. CCL has vast areas of reclaimed land that can be used for various business purposes such as eco-parks, tourism, industrial/business hubs, pumped hydro, solar power (for achieving net zero target) etc.	➤ Pressure of international body like UN to comply Paris Agreement & COP26 at Glasgow on climate change to curb use of fossil fuel (Net Zero by 2070). ➤ Rapid world-wide research in energy field may result in evolution of disruptive technologies such as Hydrogen fuel, nuclear fusion, geo-thermal energy etc. as cheaper and green energy sources resulting in fall in coal demand at faster clip. ➤ Renewable Energy: The fast expansion of renewable energy resources (Solar, Hydel Wind etc.) is a threat to the mining industry. ➤ Captive mining of coal is permitted in India, and also coal blocks are allotted to many private players and our customers (e.g. NTPC) which has resulted in lowering of demand of coal from CCL/CIL. ➤ Upcoming private players may tend to hire the highly skilled employees of the company through better Pay, Perks and other facilities. ➤ Rapid appreciation of Land rates making land acquisition costly. ➤ Abnormally high Land rates claimed by GoJ for GM JJ and other Govt. Lands is adversely affecting the financial viability of the existing as well as future projects.

B. PERFORMANCE

The Production and Productivity figures achieved by your Company during the year **2025-26** as compared to the **actual of 2024-25** is as under:

(Fig in MTe.)

Particulars	2025-26		2024-25	%age Growth Over Last Yr.
	Target	Actual	Actual	
Production				
From OC(MT)	109.00	81.533	86.83	-6.10
From UG(MT)	1.00	0.723	0.71	2.50
TOTAL(MT)	110.00	82.256	87.54	-6.03
OBR(MM3)	157.00	119.345	118.35	0.84
Composite Productions				
Washed Coal (Coking)				
Production(MT)	1.000	0.588	0.771	-23.75
Dispatch(MT)	1.000	0.542	0.701	-22.68
Washed Coal (Non-Coking)				



Production(MT)	4.28	3.355	3.619	-7.29
Dispatch(MT)	4.28	3.34	3.626	-7.89
Washed Coal Power(Coking)				
Production(MT)	1.48	1.23	1.333	-7.73
Dispatch(MT)	1.48	1.13	1.329	-14.97

The total Offtake of Raw Coal during 2025-26 was 76.20 Million Tones. The mode-wise details of off-take compared to that of last year is as under:

(Figs. in Million Tonnes)

Mode	2025-26	2024-25	Growth over last year
Rail	47.47	52.58	-9.71%
Road	23.56	27.05	-12.92%
Feed to Washery	5.17	6.06	-14.70%
Total Offtake	76.20	85.69	-11.08%

Brief Washery Performance for CCL (Coking + Non-coking) is as under:

(All the figures in thousand tonnes)

Washery	2024-25		2025-26		Remarks
Coking	Raw Coal Receipt	Raw Coal Feed	Raw Coal Receipt	Raw Coal Feed	
Kathara,	861	536.5	129	537	The Washery was commissioned in 1969 and is 57 years old. There is slight growth in Raw Coal Feed.
Sawang,	419	401.7	428	406	The Washery was commissioned in 1970 and is 56 years old. Raw coal Feed increased by 01 %.
Rajrappa,	412	428.1	438	385	The washery was commissioned in 1987 and is 39 years old
Kedla,	1030	1023.0	732	738	The Washery was commissioned in 1997 is 29 Years old.
Total	2722	2389.3	3441	3382	Washeries have outlived their technological lives of 18 years.

Non-Coking	Raw Coal Receipt	Raw Coal Feed	Raw Coal Receipt	Raw Coal Feed	
Piparwar (CHP/ CPP),	3715	3667	3441	3382	The Washery was commissioned in 1997 and Washery is 29 Years old.
Total	3715	3667	3441	3382	

Key Achievements:

- Sawang Washery exceeded its raw coal feed target significantly, achieving 162%, indicating strong operational efficiency despite logistical constraints.
- Kathara Washery maintained stable raw coal feed levels (98% achievement) even under challenging conditions.
- The yield from Rajrappa Washery increased to 40.81% as compared to previous year yield of 38.1%.



C. OUTLOOK

Company's future growth strategy is focused on enhancing operational efficiency, improving coal quality, augmenting production capacity and maximizing value from its resource base through adoption of modern technologies and innovative operating models. The Company is also pursuing operationalization and monetization of identified discontinued mines through MDO models aimed at unlocking additional value from existing infrastructure, improving resource utilization and enhancing long-term operational sustainability.

CCL will continue to pursue its established strategy of departmental production as well as Hiring of HEMMs in suitable projects. Simultaneously, the Company is undertaking technological interventions through deployment of high-capacity mining equipment and adoption of modern mining methods to improve productivity, enhance recovery and facilitate extraction of otherwise inaccessible reserves. The Company also remains committed to sustainable mining and energy transition initiatives through expansion of renewable energy capacity, efficient resource utilization and adoption of environmentally responsible mining practices. While challenges relating to land acquisition, rehabilitation and resettlement requirements, environmental compliance and weather-related disruptions may continue to influence mining operations, the Company remains focused on addressing these challenges through efficient mine planning, technological interventions and stakeholder engagement. Supported by its resource base, experienced workforce, ongoing modernization initiatives and strategic growth projects.

Marketing outlook

From a marketing perspective, the Company expects demand for coal to remain supported by growth in power generation, infrastructure development and industrial activity in the country. The company shall continue to focus on improving coal quality and enhancing the availability of quality coal to meet the requirements of the domestic power sector. The Company will also continue to focus on customer engagement, supply reliability and strengthening its presence in key consumer sectors through consistent supply of quality coal products.

Coal India is targeting to achieve 815 MT of coal production in 2026-27, in which Central Coalfields Limited will

contribute 96 MT of Coal. Major projects of the company such as Magadh EPR OCP (51 MTY), Amrapali EPR OCP (25 MTY), Ashok EPR OCP (20 MTY), Sanghamitra OCP (20 MTY), Chandragupta OCP (15 MTY), Karo EPR OCP (11 MTY), Rohini Karkata OCP (10 MTY), Konar EPR OCP (8 MTY), North Urimari OCP (7.5 MTY), Pundi RO OCP (5 MTY) and Kotre Basantpur Pachmo OCP (5 MTY) which are expected to contribute significantly in near future.

D. RISKS AND CONCERNS:

- Delay in obtaining forestry clearance and environmental clearance.
- High cost of Rehabilitation and resettlement
- Demand of employment by land oustees beyond the prescribed norms resulting in frequent law and order problems and obstruction of mining and coal transportation operation.
- Long lead time to procure HEMMs and other E&M items.

E. INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY

The company has well established internal control systems and procedures commensurate with its size and nature of business. A system of "Transaction audit" by outside Audit Firms of Chartered/Cost Accountants is in operation throughout the year in the direction of full filling the statutory requirement as well as internal control system. There is a well-defined scope, formulated and regulated by CIL, covering all the facets of the operation of the organization for internal audit jobs.

For achieving the objective of strengthening the internal financial control and also for meeting the statutory provision, physical verification of stores/spares is conducted by the outside audit firms on annual basis.

The inspection reports of CAG form part of our measures for strengthening the internal control system. The observations of the CAG are replied on regular basis. The observations are well taken care of for taking remedial measures whenever considered necessary.

F. DISCUSSION ON FINANCIAL PERFORMANCE WITH RESPECT TO OPERATIONAL PERFORMANCE

Covered in the main report.



G. MATERIAL DEVELOPMENT IN HUMAN RESOURCES/INDUSTRIAL RELATIONS FRONT, INCLUDING NUMBER OF PEOPLE EMPLOYED

Covered in the main report.

H. ENVIRONMENTAL PROTECTION AND CONSERVATION, TECHNOLOGICAL CONSERVATION, RENEWABLE ENERGY DEVELOPMENTS, FOREIGN EXCHANGE CONSERVATION

Covered in the main report.

I. CORPORATE SOCIAL RESPONSIBILITY

Covered in the main report.

J. GOING CONCERN

The Going Concern assumption is a fundamental principle in the preparation of financial statements. Under the going concern assumption, an entity is ordinarily viewed as continuing in business for the foreseeable future with neither the intention nor the necessity of liquidation, ceasing trading or seeking protection from creditors pursuant to laws or regulations.

When an entity has a history of profitable operations and ready access to financial resources, a conclusion that the going concern basis of accounting is appropriate may be reached without any detailed analysis.

The management has assessed a range of scenarios to determine potential impact on underline performance. As part of going concern assessment, management has assessed the impact of current events and conditions and paid attention to significant assumptions that are sensitive or susceptible to change or inconsistent with historical trends. The subject judgment is based on reasonable assumptions and the perception developed by the management on the economic impact of changing internal and external contexts on the company's ability to continue as a going concern.

Based on historical financial results and current economic and market conditions and indicators, it reveals that operations of CCL will continue to be profitable in recent future and there is no effect on going concern of the entity.

K. CAUTIONARY STATEMENT

Statements in the Management Discussion & Analysis and Directors' Report prescribing the Company's objectives; projections and estimates, expectations & predictions etc., may be "forward looking statement and progressive within the meaning of applicable laws & regulations. Forward looking statements contained herein are subject to certain risks and uncertainties that would cause actual results to defer materially from those reflected in the forward-looking statements. Actual results will vary from those expressed or implied depending upon economic conditions.



The resumption of operations at Rajhara Colliery (CCL Rajhara Area) was inaugurated on the sacred land of Rajhara, Jharkhand, by the Hon'ble Minister of State for Coal and Mines, Government of India, Shri Satish Chandra Dubey.



Field Visit of Independent Director of Coal India during the Familiarization / Training Programme of Independent Directors of CIL





FINANCIAL STATEMENTS



₹ **25,189.03 Crore**

Gross Sales

₹ **3356.71 Crore**

Profit Before Tax

₹ **18,621.89 Crore**

Net Worth

₹ **21,224.26 Crore**

Net Sales

₹ **2960.97 Crore**

Profit After Tax

₹ **82.256 MT**

Coal Production

₹ **119.345 Million Cu.M**

Over Burden Removal

₹ **76.20 MT**

Off Take



INDEPENDENT AUDITOR'S REPORT

To
The Members of Central Coalfields Limited
Report on the Audit of Standalone Ind AS Financial Statements

Opinion

We have audited the accompanying Standalone Ind AS Financial Statements of **Central Coalfields Limited ("the Company")** which comprise the Balance Sheet as at 31st March 2026, and the Statement of Profit and Loss (Including Other Comprehensive Income), Statement of Changes in Equity and Statement of Cash flows for the year then ended, and notes to the Standalone Ind AS Financial statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as "Standalone Ind AS Financial Statements") which includes the Returns for the year ended on that date audited by the Area Auditors of the Company's area located at *Kathara, Dhori, Bokaro & Kargali, Kuju, North Karanpura, Piparwar, Magadh & Sanghmitra, Amrapali & Chandragupta, Rajhara, Giridih, Hazaribagh Area and remaining five (5) Areas (Argada, Barka Sayal, Rajrappa, Head Quarter & CRS/CS Barkakana)* audited by us.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Ind AS financial statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with Companies (Indian Accounting Standards) Rules, 2015, as amended from time to time, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March 2026 and its profit and Other Comprehensive Income and Changes in Equity for the year ended on that date.

Basis of Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Ind AS Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the Standalone Ind AS financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibility in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

We draw attention to the following note/matter to the

Standalone Ind AS Financial Statements:

- i) Reference is invited to Note 12.1, Note 12.1.1 and Note 13.8 read with paragraph 3 of Point No. 8 of Note 16 to the financial statements, wherein the Company has carried out a retrospective restatement of the financial statements for the year ended 31 March 2025, along with the opening balances as at 1 April 2024, in compliance with the applicable Ind AS.

The restatement is consequent to a change in the accounting treatment of certain coal levies, following observations made by the Comptroller and Auditor General (C&AG) at the Coal India level, and a subsequent re-evaluation of the nature of such transactions, relevant accounting standards, applicable legal provisions, and expert opinions obtained.

Pursuant to the above reassessment, the company has determined that it acts as a principal in respect of such levies, and the same has accordingly been given effect through appropriate regrouping in the financial statements. The detailed impact of the restatement has been disclosed in the relevant notes to the financial statements.

- ii) We also draw attention to paragraph 2 of Point No. 8 of Note 16 to the financial statements, which discloses the restatement of the financial statements pursuant to the finalization of the land capitalization policy in compliance with the observations of the Comptroller and Auditor General (C&AG). In this regard, the Company has reassessed the expenditure capitalized in earlier years and accordingly restated the same in the financial statements.
- iii) We also draw attention to Note 8.4 read with foot note 8.4.2 and Note 13.3 read with foot note 13.3.5, wherein the company has recognized a provision of Rs. 268 Crores (for arrear payment) towards revision of pay scales of executives (up to mid-level), effective from 23.08.2023 and implemented from 01.01.2026 across the Coal India Limited Group, pursuant to the order of the Hon'ble High Court of Jabalpur dated 07 January 2026 and subsequent approval by the Board of Directors of Coal India Limited.

Our opinion is not modified in respect of these matters.

Key Audit Matters:

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone Ind AS financial statements of the current period. These matters were addressed in the context of our audit of the standalone Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We



have determined the matters described below to be the key audit matters to be communicated in our report:

S. No	Key Audit Matter	Auditor's Response
1	Ind AS 115 "Revenue from Contracts with Customers": In the standalone Ind AS financial statements in respect of accuracy of revenue recognition and adjustments for coal quality variances involves critical estimates. The revenue recognized by the Company in a particular contract is dependent on the sale agreement / allotment in e-auction for the respective customer. Subsequent adjustments are made to the transaction price due to grade mismatch/slippage of the transferred coal. The variation in the contract price if not settled mutually between the parties to the contract is referred to third party testing and the company estimates the adjustments required for revenue recognition pending settlement of such dispute. Such adjustments in revenue are made on estimated basis following historical trend. (Refer to Note 12.1 to the Standalone Ind AS Financial Statements)	We have assessed the application of the provisions of Ind AS 115 in respect of the Company's revenue recognition and appropriateness of the estimated adjustments in the process. We have selected transactions on sample basis and tested for identification of contracts involving disputes relating to grade mismatch/ slippage with respect to the terms of the contract, evaluation of the satisfaction of performance obligation checking the adjustment to the revenue due to variation in transaction price. We have performed tests to establish the basis of estimation of the consideration and whether such estimates are commensurate with the accounting policy of the Company. Our procedures did not identify any material exceptions.
2	Evaluation of provisions and Contingent Liabilities: The Company has a number of litigations including direct and indirect taxes, various claims, etc. pending before various forums against it and the management's judgment is required for estimating the amount to be provided and/or disclosed as contingent liability. We identified this as a key audit matter because the estimates and assessment with respect to these involve a significant degree of management's judgment, interpretations, and may therefore require adequate attention to arrive at the required conclusion. (Refer Clause (a) of Point No. 1 of Note 16 to the Standalone Financial Statements, read with the material Accounting Policy No. 2.22)	Our audit procedures, based on which we arrived at our conclusion regarding the reasonableness of disclosure of contingent liabilities and recognition of provisions, include the following: We evaluated whether adequate controls are in place with respect to the estimation, assessment, and disclosure of pending litigation cases to be treated as contingent liabilities. We reviewed the existing status of all contingent liabilities appearing in the opening balances, as well as those identified during the reporting period, giving due consideration to any material developments therein. We examined various correspondences and related documents pertaining to pending legal cases, along with relevant external legal opinions obtained by the management, and performed substantive procedures on the estimates supporting the disclosure of contingent liabilities. We reviewed the management's judgements and assessments with respect to the requirement of provisions, if any, for such matters. We also examined the background of those matters which have neither been provided for nor disclosed as contingent liabilities, on the basis that the probability of a material outflow of resources has been assessed as remote. We have examined the adequacy and completeness of disclosures. Our Audit procedure did not identify any material exceptions.
3	Retrospective re-statement of Financial Statements of financial year ended 31.03.2026: During the financial year 2025-26, pursuant to the finalization of the land capitalization policy in compliance with the observations of the Comptroller and Auditor General (C&AG), the Company has restated its previous year financial statements and opening balances as at 1st April 2024. This restatement has been carried out by giving retrospective effect to the de-capitalization of GMJJ Land from the date of its initial capitalization, in accordance with the applicable Indian Accounting Standards (Ind AS). (Refer Point No. 8 of Note 16 to the Standalone Financial Statements)	We have reviewed the C&AG observation and the management's judgment with respect to the de-capitalization of the said land from the date of its initial capitalization, and have examined the management's assessment of the resultant impact on each financial statement line item in accordance with the applicable Indian Accounting Standards (Ind AS). Our audit procedures did not identify any material exceptions to the aforesaid assessment.



Information Other than the Standalone Ind AS Financial Statements and Auditor's Report Thereon

The Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report but does not include the Standalone Ind AS Financial Statements and our auditor's report thereon. The other information as stated above is expected to be made available to us after the date of this auditor's report.

Our opinion on the Standalone Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Standalone Ind AS Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Standalone Ind AS Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the other information as stated above and if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and describe necessary actions required as per applicable laws and regulations

Responsibility of Management and Those Charged with Governance for the Standalone Ind AS Financial Statements

The Management of the Company and Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone Ind AS Financial Statements that give a true and fair view of the state of affairs (financial position) Profit or Loss (financial performance, including other comprehensive income) and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act, read with relevant rules issued thereunder.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of

the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Ind AS Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Ind AS Financial Statements, management is responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Standalone Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the Standalone Ind AS Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Ind AS Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:-

- Identify and assess the risks of material misstatement of the Standalone Ind AS Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement



resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls;
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Standalone Ind AS Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease
- Evaluate the overall presentation, structure and content of the Standalone Ind AS Financial Statements, including the disclosures, and whether the Standalone Ind AS Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence and communicated with them all relationships and other matters that may reasonably be thought to bear on our

independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Ind AS Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

1. We did not audit the annual financial statements/ financial information of 11 Areas included in the standalone Ind AS financial statements of the Company whose annual financial statements/ financial information reflects total assets of ₹16,232.61 crore as at 31 March 2026, and the total revenues of ₹17,880.76 crore, total net profit after tax of ₹34,113.37 crore and total comprehensive income of ₹34,113.37 crore, respectively, for the year ended on that date, as considered in the standalone financial statements. These annual financial statements/financial information have been audited by the Area auditors whose reports have been furnished to us by the management, and our opinion on the standalone financial statements, in so far as it relates to the amounts and disclosures included in respect of Areas, and our report in terms of sub-section (3) of section 143 of the Act in so far as it relates to the aforesaid Areas, is based solely on the report of such area auditors.

Our Opinion is not modified in respect of the matters stated above.

2. We draw attention to the fact that the Company has not complied with the provisions of Section 149 of the Companies Act, 2013. The Woman Director on the Board, being a nominee of the Ministry of Coal, Government of India, ceased to hold office with effect from 21.11.2025 and no new Woman Director has been appointed as on the date of this report. Further, the Company is required to have a minimum of 2 Independent Directors on its Board as per Section 149(4) read with Rule 4 of the Companies



(Appointment and Qualification of Directors) Rules, 2014, however, the position of both Independent Directors remained vacant during the year, one throughout the year and another with effect from 27.03.2026, and no appointments have been made as on the date of this report. Consequently, the Audit Committee and the Nomination and Remuneration Committee were also not constituted in accordance with the Section 177 and Section 178 of Companies Act 2013. It may be noted that the appointments of directors in Government companies are made by the Government of India, and the above list of non-compliances is not exhaustive of all instances of non-compliance, if any, that may exist.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in **"Annexure A"** a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable;
2. As required under section 143(5) of the Companies Act 2013, we give in the **"Annexure B"**, a statement on the Directions/Additional Directions issued by the Comptroller and Auditor General of India after complying with their suggested methodology of Audit, the action taken thereon and its impact on the account and the Standalone Ind AS Financial Statements of the Company.
3. Further to our comments in the annexure referred to in the paragraph above, as required by Section 143(3) of the Act, we report that:
 - a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - b. In our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books except for the matters stated in paragraph 4(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules 2014, as amended from time to time;
 - c. The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income)
- and Statement of Change in Equity dealt with by this Report, are in agreement with the books of accounts;
- d. In our opinion, the aforesaid Standalone Ind AS Financial Statements comply with the Indian Accounting Standards specified under section 133 of the Act, read with Rule 7 of the Companies (Indian Accounting Standards) Rules, 2015, as amended from time to time.
- e. In pursuance of the Notification No. G.S.R. 463(E) dated 05.06.2015 issued by the Ministry of Corporate affairs, provisions of Section 164(2) of the Act, pertaining to disqualification of Directors is not applicable as it is a Government Company.
- f. With respect to the maintenance of accounts and other matters connected therewith, reference is invited to Paragraph 3(b) above on reporting under Section 143(3)(b) of the Act; and
- g. With respect to the adequacy of the internal financial controls with reference to the Standalone Ind AS Financial Statement of the Company and the operating effectiveness of such controls, refer to our separate Report in **"Annexure C"**. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.
4. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - (a) The Company has disclosed the impact of pending litigations on its financial position in its Standalone Ind AS Financial Statements – Refer to clause (a) of Point No. 1 of Note 16 of the Standalone Ind AS Financial Statement.
 - (b) The Company did not have any material foreseeable losses against long term contracts, including derivative contracts and thereby requirement for making provision in this



respect is not applicable to the Company;

- (c) There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company during the year;
- (d) (i) The Management has represented that, to the best of its knowledge and belief as disclosed in Note to the Standalone Ind AS Financial Statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entity ("intermediaries"), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the Ultimate Beneficiaries;
- (ii) The Management has represented, that to the best of its knowledge and belief as disclosed in Note to the Standalone Ind AS Financial Statements, no funds have been received by the company from any person(s) or entity(ies), including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, the company shall, whether, directly or indirectly, lend or invest in other person or entities identified in any manner whatsoever by or on behalf of the funding party ("ultimate Beneficiaries") or provide any Guarantee, Security or the like on

behalf of the Ultimate Beneficiaries; and

- (iii) Based on such audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that representations under Sub Clause(i) and (ii) of Rule 11(e) of the Companies (Audit And Auditors) Rules, 2014, as amended from time to time, as provided under (a) and (b) above, contain any material misstatement;
- (e) This clause regarding dividend declared or paid during the year in compliance with Section 123 of the Companies Act 2013, is not applicable to this Company.
- (f) Based on our examination which included test checks, performed by us, the Company maintains its accounts in SAP and its accounting module has features of recording audit trail (Edit Log) facility and the same has been operated throughout the year for all the transactions recorded in SAP. We have not come across any instances where the audit trail feature has been tampered with during the course of our audit.

With respect to reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 on preservation of audit trail as per the Statutory requirements for record retention for maintaining relevant records for prior years, record for audit trail are maintained for one month.

Further for the periods where audit trail (edit logs) facility was enabled, we did not come across any instances of the audit trail feature being tampered with during the course of our audit.

For D N Dokania & Associates
Chartered Accountants
ICAI Firm Registration No.: 050042C
Sd/-
Naman Kumar Dokania
(Partner)
Membership Number: 417251
UDIN:26417251OKITPF1832

Place : Ranchi
Date : 21st April 2026



ANNEXURE “A” TO THE INDEPENDENT AUDITORS’ REPORT (Referred to Paragraph 1 of our Report on Other Legal and Regulatory Requirements)

We report that: -

- (i) (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment and Intangible Assets;
- (b) During the year, property, plant and equipment have been physically verified by the management according to a regular program of verification except surveyed off assets, each valuing ₹1.00 lakh and above, and of each asset irrespective of the value in case of additions made during the last three year which, in our opinion, is reasonable having regard to the size of the company, and its nature of its assets. According to the information and explanation given to us, no material discrepancies were noticed in such verification.
- (c) According to the information and explanation given to us, land transferred from erstwhile coal companies under pre-nationalization period to CCL under Coal Mines (Nationalization Act) 1973 were vested in Coal Mines Authority Limited by Statutory Order No. GSR/345.E dated 9th July 1973, New Delhi. The Deeds are kept in Land & Revenue department. Land acquired under Coal Bearing Areas (Acquisition and Development) Act 1957 under section 9(1) of CB Act along with the S.O. are uploaded in CCL website. Once payment of final land compensation to the land oustees is made, original land documents are kept in the Land & Revenue Department of CCL. In rest of the cases, the title deeds are kept with concerned department of the CCL.
- However, the auditors of other area i.e. A&C, Dhori, Kathara, Kuju, M&S, NK, Piparwar and Rajhara area have commented that the title deeds have not been produced with them for verification.
- (d) The company has not revalued any of its Property, Plant & Equipment and Intangible Assets during the year. Accordingly, reporting under Paragraph 3(i)(d) of the Order is not applicable to the company; and
- (e) According to the information and explanation given to us, and as represented by the management, no proceedings have been initiated during the year or are pending against the Company as at 31st March 2026 for holding any benami property under the Benami Transactions (Prohibition) Act 1988 (45 of 1988) and rules made thereunder, as amended from time to time. Accordingly, reporting under paragraph 3(i)(e) of the Order is not applicable to the Company.
- (ii) (a) As per policies of the company, physical verification of coal, Coke, etc. has been done by way of volumetric measurement with reference to contour map at each mine by the Inter-Company measurement team at different location. The Inter-Company team has given their report with respect to the same. The company is constantly following the accounting policy in this respect in case of variance up to +/- 5 % between the Book Stock & Measured Stock, Book Stock is considered for valuation of closing stock and Variance, if any within the prescribed limit, found is ignored.
- In respect of Physical Verification of Stores and Spares has been completed for 31.03.2025, but with regards to 31.03.2026, in some areas the same is in progress and in some the same has not yet been commenced.
- (b) According to the Information and explanation provided to us, the company has been sanctioned a working capital limit in form of Bank Overdraft from Indian Bank, Bank of Baroda, Bank of Maharashtra and Canara Bank amounting to Rs. 1,000 Crores, during the period under audit based on security by way of Fixed Deposits of the Company. Since the limit is sanctioned against Fixed Deposit, hence, quarterly statement to be filed with the bank is not applicable.
- (iii) (a) The company has not granted any secured or unsecured loan or provided any guarantee or security or granted any advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnership or any other parties during the year except guarantee given to the holding company for securing loan, and providing interest free loan to the subsidiary i.e. JCRL.
- As per information and explanations given to us, the above loans/advances etc. are not prejudicial to the company's interest.
- (iv) In our opinion and according to the information and explanations given to us, the company has complied with the provisions of Section 185 and Section 186 of the Act, in respect of granting loans, making investments and providing guarantees and securities, as applicable.
- (v) According to the information and explanations given to us and based on our examination of the books and records of the Company, the company has not accepted any deposits or any amount deemed to be deposits from the public covered under Section 73 to 76 or any other relevant provisions of the Act and



rules made thereunder. Accordingly, reporting under Paragraph 3(v) of the Order is not applicable to this company.

- (vi) We have broadly reviewed the books of account maintained by the company pursuant to the Rules made by the Central Government for the maintenance of cost records under Section 148(1) of the Act in respect of the Company's products to which the said rules are made applicable and are of the opinion that prima facie, the prescribed records have been maintained. We have, however, not made a detailed examination of the said records with a view to determine whether they are accurate or complete.

As informed to us, the cost audit has for the financial year 2025-26 is under process till the date of our audit.

- (vii) According to the information and explanations given to us, and based on our examination of the books of account:

- (a) During the year, the company has generally been regular in depositing with the appropriate authorities undisputed Statutory Dues including Goods and Services Tax, Provident Fund, Income Tax, Sales Tax, Service Tax, Duty of custom, excise duty, value added tax, cess and any other statutory dues as applicable to it, and according to the information and explanation given to us, no undisputed amounts payable in respect of above, were in arrears as at 31st March 2026 for a period of more than six months from the date they become payable.
- (b) The details of the statutory dues referred to in sub-clause (vii)(a) above, which have not been deposited on account of any dispute is enclosed as per **Appendix – 1**

- (viii) In our opinion and on the basis of the information and explanations given to us, and as represented by the management, we have neither come across nor have been informed of transactions which were previously not recorded in the books of account and that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act 1961 and accordingly reporting under paragraph 3(viii) of the Order is not applicable.

- (ix) (a) The Company has not defaulted in repayment of any loans or other borrowings or in the payment of interest thereon, and
- (b) According to the information & explanations provided to us, the company has not been declared as willful defaulter by any bank or financial institution or other lender.
- (c) According to the information & explanations as provided to us, no term loans were applied for the purpose for which the loans were obtained during the year.
- (d) According to the information & explanations as provided to us the company has not raised any fund on short term basis which have been utilized as long term basis.

- (e) According to the information & explanations as provided to us, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.

- (f) According to the information & explanations as provided to us, the company has not raised any loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate company.

- (x) According to the information and explanations given to us, and based on our examination of books of account of the company:

- (a) The company has not raised money by way of initial public offer or further public offer (including debt instruments) or term loans and hence reporting under Paragraph 3(x)(a) of the order is not applicable to the company; and

- (b) The company has not made any preferential allotment or private placement of shares or convertible debentures (partly, fully or optionally) during the year, and accordingly, reporting under paragraph 3(x)(b) of the order is not applicable to the company.

- (xi) (a) During the course of our examination of books and records of the company carried out in accordance with generally accepted auditing practices in India, and according to the information and explanation given to us, we have neither come across any instance of fraud by the company, or on the company noticed or reported during the year, nor have been informed of any such cases by the management.

- (b) No report under sub-section (12) of Section 143 of the act has been filed in Form ADT-4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 (as amended from time to time) with the Central Government, during the year and upto the date of this report; and

- (c) According to the information and explanation given to us and based on the examination of books of accounts of the Company, no whistle blower complaints have been received during the year by the Company. Accordingly, reporting under paragraph 3(xi)(c) of the order is not applicable.

- (xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi Company and according to the Nidhi rules, 2014 is not applicable to it, hence reporting under paragraph 3(xii) (a, b and c) of the order is not applicable to the company.

- (xiii) According to the information and explanations given to us and based on our examination of the records of the company, transactions with the related parties are in compliance with provisions of section 177 and 188 of the Act wherever applicable and details of such transactions have been disclosed in the



Standalone Ind AS Financial Statements as required in terms of the applicable Indian Accounting Standards.

- (xiv) The Company has appointed various firm of Chartered Accountants to carry out the internal audit of various area the company. In our opinion and based on our examination, the system followed considering the scope and company of coverage and periodicity thereof is required to be strengthened to make it commensurate with the size and nature of its business. We have considered, during our audit, the reports of the internal auditor for the period under audit issued to the company during the year and till date in determining the nature, timing and extent of our audit procedures in accordance with the guidance provided in SA 610 "Using the work of Internal Auditors".
- (xv) According to the information and explanation given to us and as represented to us by the management and based on our examination of records of the company, the company has not entered non-cash transactions with directors or persons connected to them. Accordingly, paragraph 3(xv) of the Order is not applicable.
- (xvi) The company is not required to be registered under Section 45-IA of the Reserve Bank of India Act 1934. Accordingly, paragraph 3(xvi) of the Order is not applicable.
- (xvii) Based on the examination of the books of accounts we report that the company has neither incurred cash losses in current financial year covered by our audit nor has incurred cash losses in the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory auditors of the company during the year and hence reporting under paragraph 3(xviii) of the order is not applicable.
- (xix) According to the information and explanations given

to us and based on the financial ratios (refer note 16 to the Standalone Ind AS Financial Statements), ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the Standalone Ind AS Financial Statements, our knowledge of the Board of Directors and management's plan and based on our examination of the evidences supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to future viability of the company. We further state that our reporting is based on the facts up to date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the company as and when they fall due.

- (xx) In respect of other than ongoing projects, the company did not have any balance of unspent amount required to be transferred to a fund specified in schedule VII to the Companies Act, 2013 within a period of six months of the expiry of the financial year in compliance with second proviso to sub-section (5) of section 135 of the said act;

In respect of ongoing projects, the company has a practice to transfer of unspent CSR amount to a special account in compliance with the provision of sub-section (6) of section 135 of the said act. In the FY 2025-26, the company has spent excess CSR expenses and the same is considered as an asset under CSR Excess expenditure to be carried forward for ₹ 11.30 Crore.

- (xxi) The reporting under paragraph 3(xxi) of the Order is not applicable in respect of audit of the Standalone Ind AS Financial Statements.

For D N Dokania & Associates
Chartered Accountants
ICAI Firm Registration No.: 050042C
 Sd/-
Naman Kumar Dokania
(Partner)
Membership Number: 417251
UDIN:26417251OKITPF1832

Place: Ranchi
Date : 21st April 2026

APPENDIX – 1

Details of the Statutory Dues referred to in sub-clause (vii)(a) of CARO, 2020, which have not been deposited on account of any dispute

(Appendix to Clause 3(vii)(b) of CARO, 2020)

Name of the Statute	Gross Amount under dispute (Rs. In Crores)	Period to which it relates FY	Forum where the dispute is pending	Amount deposited under protest (Rs. In Crores)	Balance amount not deposited (Rs. In Crores)
Central Excise Act, 1944	0.25	2015-16 & 2016-17	Assistant Commissioner, Ranchi	0.02	0.22
Central Excise Act, 1944	42.87	14-15,10-11 to 16-17,16-17 & 17-18,13-14 to 16-17 & 16-17 & 17-18	CESTAT, Kolkata	2.44	40.42
Central Excise Act, 1944	0.20	16-17 & 17-18	Commissioner, Ranchi	0.01	0.20
Central Sales Act, 1956	4.07	12-13	CCT Ranchi	0.81	3.25
Central Sales Act, 1956	11.11	11-12,13-14	CT-TRIBUNAL,RAN	2.60	8.51
Central Sales Act, 1956	0.93	16-17,17-18	DCCT	0.08	0.86
Central Sales Act, 1956	0.19	15-16	DCCT (Post Remand)	0.19	-
Central Sales Act, 1956	0.00	2016-17	DCCT, Phusro	-	0.00
Central Sales Act, 1956	14.47	16-17	JCCT(A)	0.42	14.06
Central Sales Act, 1956	1.36	17-18	JCCT(A),HAZ	-	1.36
Electricity Duty	0.44	13-14,14-15,15-16,16-17 & 17-18	JCCT(A), HAZARIBAG	-	0.44
Environmental Compensation	23.79	2022	Board of Revenue GoJ	-	23.79
Holding Tax	10.52	18-19 to 25-26	High Court	10.49	0.03
Income Tax Act, 1961	99.21	AY - 19-20,20-21 & 22-23	ITAT	-	99.21
Income Tax Act, 1961	87.41	AY - 23-24,24-25	CIT(A)	-	87.41
MADA	366.21	05-06 to 22-23,05-06 to 24-25 & 05-06 to 22-23	High Court	0.01	366.20
Royalty	4.28	2018-19,2019-20 & 2021-22	Auction Letter Officer	0.53	3.75
Royalty	824.78	15-16,16-17,06-07,06-07,99-00,94-95,84-85,08-09,13-14,14-15,13-14,95-96,08-09,93-94,90-91,12-13,18-19,15-16,93-94,92-93,93-94,90-91,94-95,13-14,93-94,01-02,13-14,13-14,90-91,09-10,2014-15,02-03,06-07,01-02,15-16,12-13,12-13,93-94,04-05,06-07,11-12 to 12-13,16-17 to 20-21,86-87,10-11	Certificate Office	9.76	815.03
Royalty	3.12	05-06	COMMISSIONER	0.25	2.88
Royalty	1.42	12-13,13-14	DD(M)	1.78	-0.36
Royalty	13.99	98-99	DMO	-	13.99
Royalty	139.99	Oct'2000-March2008	DMO, OFFICE	-	139.99
Royalty	3.68	1995-96,1992-93,2016-17,16-17,14-15,2008-09	Dy. Commissioner	1.67	2.01
Royalty	967.17	2002-03,1996-97,2002-03,1992-93,2017-18,2014-15,99-00,08-09,98-99,87-88,93-94,04-05,95-96,98-99,98-99,98-99,98-99,98-99,10-11 to 16-17	HIGH COURT	23.07	944.10
Royalty	0.30	18-19	Ministry of Coal	0.30	-0.00
Royalty	29.30	2021-22,13-14 & 14-15,08-09	MOC	0.02	29.27
Royalty	0.36	02-03	State Govt. of Revenue	0.36	-
Royalty	33.68	08-09,91-92	Supreme Court	9.31	24.38
Finance Act, 1994 (Service Tax)	86.95	16-17,16-17 to 17-18,16-17 to 17-18,16-17, 17-18,05-06 to 07-08,14-15 to 15-16,16-17 to 17-18,05 to 08,16-17 & 17-18,05-06 to 07-08,2015-16,2016-17, April-05 to Dec-08	CESTAT, Kolkata	2.00	84.95
Finance Act, 1994 (Service Tax)	1.57	17-18	Commissioner, Ranchi	0.00	1.57
VAT	5.38	12-13	CCT Ranchi	1.08	4.31
VAT	23.24	11-12,13-14,14-15	CT-TRIBUNAL,RAN	4.22	19.02
VAT	4.16	13-14,17-18	DCCT	-	4.16
VAT	22.26	16-17,16-17,17-18,15-16,16-17,17-18	JCCT(A)	1.81	20.45
VAT	138.35	2015-16,2016-17,15-16,2014-15,2016-17	JCCT(A), Hazaribag	0.27	138.08



Annexure “B” referred to in paragraph 2 of “Report on Other legal and Regulatory Requirements” of Independent Auditor’s Report on the Standalone Ind AS Financial Statements for the year ended March 31, 2026

Part – I : Directions

Sl. No.	Directions	Auditors’ Reply on the action taken on the directions
1	Assess the fair valuation of all the investments, both quoted and unquoted, made directly by the Company or through Trusts, for Post retirement benefits of the employees. This includes verifying valuation methodologies, ensuring consistency with Ind AS and reviewing supporting documentation. The auditor shall provide a brief note on the valuation approach, its responsibility and compliance with applicable regulations, reporting any material deviations or misstatements.	The fair valuation of investments held for post-retirement benefits of employees, made directly by the Company or through Trusts, has been assessed during the course of audit. The Company does not hold any quoted investments for this purpose. The unquoted investments have been valued based on a comprehensive actuarial valuation report, with actuarial assumptions and methodologies consistent with the requirements of Ind AS 19 (Employee Benefits) and Ind AS 113 (Fair Value Measurement). The overall valuation approach adopted by the Company is considered reasonable and the supporting documentation reviewed during the audit corroborates the valuation adopted. No material deviations or misstatements in the fair valuation of investments held for post-retirement benefits were noticed during the course of our audit.
2	Whether the company has a system in place to process all the accounting transactions through IT system? If yes, whether review of this system and controls that are significant to the Companies’ financial reporting process as well as cyber security has been done by Information Security Auditing organizations empaneled by Cert-In at a minimum frequency of once in a year and material discrepancies found, if any, have been suitably reported? The implications of processing accounting transactions outside IT system on the integrity of the accounts along with the financial implications may also be reported.	i) System for Processing Accounting Transactions: The Company has a system in place to process accounting transactions through SAP. Based on our audit procedures and observations, it was noted that all accounting transactions are processed through SAP, except the following which are processed outside the SAP environment through manual computation / standalone systems: a) OBR Accounting (Stripping Ratio & Stripping Asset) b) Inventory Valuation However, in many areas attendance is not being captured through Biometric system, and the same is currently being entered manually in the system. ii) Review by CERT-In Empanelled Agency: The Company has got the review of its IT system and controls significant to the financial reporting process as well as cyber security conducted by an Information Security Auditing organization empanelled by CERT-In. A Security Assessment Certificate has been obtained dated 27.10.2025 vide Certificate No. ICPL/SCA/11566. The material discrepancies found, if any, during such review have been suitably reported. iii) Implications of Processing Transactions Outside IT System: The transactions processed outside SAP, as enumerated at (i) above, are not subject to the automated controls and audit trails inherent in the SAP environment. However, no material discrepancies or adverse financial implications arising from processing of such transactions outside the IT system were noticed during the course of our audit.



Sl. No.	Directions	Auditors' Reply on the action taken on the directions
3	Whether funds (grants/subsidy etc.) received for specific schemes from Central/State Government or its agencies were properly accounted for as per the applicable accounting standards or norms and whether the received funds were utilized as per its terms and conditions? Whether accounting of interest earned on grants received has been done as per terms and conditions of the Grant. List the cases of deviation.	As per information and explanation produced before us, there exists no such case of grant/subsidy has been received by the company during the current year, and accordingly, no question of accounting of interest does not arise.
4	Whether the Company has identified the key Risk company's? If yes, whether the Company has formulated any Risk Management Policy to mitigate these risks? If yes, (a) whether the Risk Management Policy has been formulated considering global best practices? (b) whether the Company has identified its data assets and whether it has been valued appropriately?	i) Identification of Key Risk Areas and Risk Management Policy: The Company has identified its key risk areas and has formulated a Risk Management Policy for identification, measurement and management of financial risks. The Risk Committee provides assurance to the Board of Directors that the Company's financial risk activities are governed by appropriate policies and procedures. The details have been disclosed in Point No. 5 of Note 16 of the Standalone Financial Statements. ii) Formulation of Risk Management Policy considering Global Best Practices: As per the information and explanations given by the management, the Risk Management Policy has been formulated considering global best practices. iii) Identification and Valuation of Data: As per the information and explanations given by the management, the Company has identified its data and the same has been valued appropriately.
5	Whether the Company is complying with the Securities and Exchange Board of India (SEBI) (Listing Obligation and Disclosure Requirements) Regulations, 2015, and other applicable rules and regulations of SEBI, Department of Investment and Public Asset Management, Ministry of Corporate Affairs, Department of Public Enterprises, Reserve Bank of India, Telecom Regulatory Authority of India, CERT-IN, Ministry of Electronics and Information Technology and National Payments Corporation of India wherever applicable? If not, the cases of deviation may be highlighted.	The Company is complying with the guidelines and regulations issued by the Department of Investment and Public Asset Management (DIPAM), Ministry of Corporate Affairs (MCA), Department of Public Enterprises (DPE), and CERT-IN, wherever applicable. The regulations of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Reserve Bank of India, Telecom Regulatory Authority of India, Ministry of Electronics and Information Technology, and National Payments Corporation of India are not applicable to the Company. Accordingly, no cases of non-compliance or deviation arise in respect thereof. However, it is observed that the Company does not have a Woman Director on its Board with effect from 22.11.2025, which is mandatory under Section 149(1) of the Companies Act, 2013 read with Rule 3 of the Companies (Appointment and Qualification of Directors) Rules, 2014. Further, the Company is required to have a minimum of 2 Independent Directors on its Board as per Section 149(4) read with Rule 4 of the Companies (Appointment and Qualification of Directors) Rules, 2014, however, the position of both Independent Directors remained vacant during the year, one throughout the year and another with effect from 27.03.2026, and no appointments have been made as on the date of this report. Consequently, the Audit Committee and the Nomination and Remuneration Committee were also not constituted in accordance with the Section 177 and Section 178 of Companies Act 2013. This constitutes a deviation from the applicable provisions of the Companies Act, 2013, which may be regularised at the earliest.



Part – II :Additional Directions

Sl. No.	Additional Directions	Auditors' Reply on the action taken on the directions
1	Whether coal stock measurement was done based on Yellow Book? Whether physical stock measurement reports are accompanied by contour maps in all cases? Whether approval of the Competent Authority was obtained for new heap, if any, created during the year.	The coal stock measurement has been done based on the Yellow Book. The physical stock measurement reports are accompanied by contour maps in all cases. The approval of the Competent Authority was obtained for new heaps created during the year.
2	Whether the company has conducted physical verification exercise of assets and properties at the time of merger/split/re-structure of a company. If so, whether the concerned subsidiary followed the requisite procedure.	As per the information and explanations given by the management, no merger, split or restructuring of the Company was carried out during the year. Accordingly, the question of conducting physical verification of assets and properties in this regard does not arise.
3	Whether separate Escrow Accounts for each mine has been maintained in CIL and its subsidiary companies and the Escrow Agreements/Accounts were modified/ updated in compliance of guidelines issued by Ministry from time to time. Also examine the utilization of the fund of the account.	Escrow Accounts have been maintained for 68 out of 69 mines of the Company. In respect of Pindra OC Mines, the Escrow Account has not been opened due to non-availability of Approved Progressive Rehabilitation and Mine Closure Plan (PR & MCP). The Ministry of Coal has issued Guidelines for preparation of Mining Plan and Mine Closure Plan for Coal and Lignite Blocks, which may necessitate updating of the existing plans. In respect of updation of Escrow Agreements/Accounts in compliance with the guidelines issued by the Ministry from time to time, out of 68 Escrow Accounts, 31 accounts have been updated, applications for updation have been submitted in respect of 13 accounts and are pending consideration, and the remaining 24 accounts are yet to be updated. The Company may take appropriate steps to ensure timely updation of the remaining accounts. During the year, the Company has received a sum of ₹ 17.63 Crores (Previous Year ₹ 13.55 Crores) from the Escrow Accounts for mine closure activities after obtaining approval from the Coal Controller Office. The said amount has been utilized for the intended purpose of mine closure activities.
4	Whether the impact of penalty for illegal mining as imposed by the Hon'ble Supreme Court/National Green Tribunal/State Pollution Control Board has been duly considered and accounted for.	The matter relating to penalty for alleged excess production beyond Environmental Clearance limits has been considered by the Company. Demand notices were issued by certain District Mining Officers of Jharkhand in 42 projects pursuant to the judgment of the Hon'ble Supreme Court of India in Common Cause vs. UOI and Others (W.P.(C) No. 114 of 2014). The Company had filed revision petitions before the Coal Tribunal, Ministry of Coal, which set aside all 42 cases. Subsequently, fresh demand notices have been received by the projects of the Company imposing penalties aggregating to ₹ 15,426.90 Crores. The Company has filed revision applications before the Coal Tribunal, Ministry of Coal, wherein stay orders have been issued in 26 cases and hearings in the remaining cases are awaited.

The Company, considering the remote possibility of outflow of resources, has not recognised the same as a contingent liability in the financial statements. The matter has been disclosed in the notes to the financial statements. Based on our audit procedures and the legal position as it stands, we have no further comments to offer in this regard, other than what has been disclosed by the management in the 1(d) of note no. 16 to the financial statements.

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|---|--|--|
| 5 | Whether any independent Assessment/ Certification in respect of migration process of data from Coal net portal to SAP has been done. | As per the information and explanation provided to us, the independent assessment/certification in respect of migration process of data from Coal net portal to SAP has been done and report dated 07.04.2025 has been obtained. |
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For D N Dokania & Associates
Chartered Accountants
ICAI Firm Registration No.: 050042C

Sd/-

Naman Kumar Dokania
(Partner)

Membership Number: 417251
UDIN:26417251OKITPF1832

Place: Ranchi
Date: 21st April 2026



Annexure - “C” to the Independent Auditors’ Report (Refer to in paragraph 3(g) of our Report on Other Legal and Regulatory Requirements)

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”)

We have audited the internal financial controls with reference to Standalone Ind AS Financial Statements of Central Coalfields Limited (hereinafter referred to as “the Company”) as of 31st March 2026 in conjunction with our audit of the Standalone Ind AS Financial Statements of the company for the year ended on that date.

Management’s Responsibility for Internal Financial Controls

The Company’s management is responsible for establishing and maintaining internal financial controls based on the internal controls over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Plant’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013 (‘the Act’).

Auditors’ Responsibility

Our responsibility is to express an opinion on the Company’s Internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and

maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgment, including the assessment of the risks of material misstatement of the Standalone Ind AS Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the company’s internal financial controls system with reference to Standalone Ind AS Financial Statements.

Meaning of Internal Financial Controls with Refer- ence to Standalone Ind AS Financial Statements

The company’s internal financial control with reference to Standalone Ind AS Financial Statements, is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone Ind AS Financial Statements for external purposes in accordance with generally accepted accounting principles. The Company’s internal financial control over financial reporting includes those policies and procedures that:

1. pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company.
2. provide reasonable assurance that transactions are recorded as necessary to permit preparation of Standalone Ind AS Financial Statements in accordance with generally accepted accounting



principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management of the Company; and

3. provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company's assets that could have a material effect on the Standalone Ind AS Financial Statements.

Inherent Limitations of Internal Financial Controls with Reference to Standalone Ind AS Financial Statements

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal

financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

According to the information and explanations given to us and based on our audit, in our opinion, the company has generally maintained, in all material respects, adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were generally operating effectively as at 31st March 2026, based on the internal control over financial reporting criteria established by the company considering the essential components of internal control stated in the "Guidance Note on Audit of Internal Financial Controls Over Financial Reporting" issued by the Institute of Chartered Accountants of India.

For D N Dokania & Associates
Chartered Accountants

ICAI Firm Registration No.: 050042C

Sd/-

Naman Kumar Dokania

(Partner)

Membership Number: 417251

UDIN: 26417251OKITPF1832

Place: Ranchi

Date : 21st April 2026



Compliance Certificate

We have conducted the audit of the Standalone Ind AS Financial Statements of Central Coalfields Limited for the financial year ended 31st March 2026 in accordance with the direction issued by the Comptroller and Auditor General of India under sub section 5 of section 143 of the Companies Act, 2013 and certified that we have complied with all the directions issued to us.

For D N Dokania & Associates

Chartered Accountants

ICAI Firm Registration No.: 050042C

Sd/-

Naman Kumar Dokania

(Partner)

Membership Number: 417251

Place: Ranchi

Date: 21.04.2026

STANDALONE BALANCE SHEET AS AT 31.03.2026

(₹ in Crore)

ASSETS	Note No.	As at 31.03.2026	As at 31.03.2025 (Restated)	As at 01.04.2024 (Restated)
Non-Current Assets				
Property, Plant & Equipment	3.1	8,476.94	8,326.29	6,337.62
Capital Work in Progress	3.2	2,732.36	1,880.49	1,845.55
Exploration and Evaluation Assets	3.3	487.87	587.54	605.31
Intangible Assets	3.4	19.27	20.40	24.50
Intangible Assets under Development	3.5	-	-	-
Financial Assets				
(i) Investments	4.1	492.35	345.53	345.53
(ii) Loans	4.2	17.68	13.59	8.69
(iii) Other Financial Assets	4.6	2,403.19	2,063.97	1,838.79
Deferred Tax Assets (Net)	11.2	200.04	138.13	228.48
Non-Current Tax Assets (Net)	11.1	-	-	-
Other Non-current Assets	6.1	6,927.99	6,960.91	5,491.60
Total Non-Current Assets		21,757.69	20,336.85	16,726.07
Current Assets				
Inventories	5.1	2,390.26	1,807.34	1,314.92
Financial Assets				
(i) Investments	4.1	9.90	9.29	308.72
(ii) Trade Receivables	4.3	1,164.17	1,628.91	1,716.73
(iii) Cash & Cash Equivalents	4.4	720.88	1,073.20	405.15
(iv) Other Bank Balances	4.5	2,302.68	1,158.92	2,038.48
(v) Loans	4.2	2.05	1.52	1.01
(vi) Other Financial Assets	4.6	442.96	200.52	126.92
(c) Current Tax Assets (Net)	11.1	699.14	414.81	526.87
(d) Other Current Assets	6.2	2,848.87	3,356.79	2,951.73
Total Current Assets		10,580.91	9,651.30	9,390.53
Total Assets		32,338.60	29,988.15	26,116.60



STANDALONE BALANCE SHEET AS AT 31.03.2026

		As at 31.03.2026	As at 31.03.2025 (Restated)	As at 01.04.2024 (Restated)
EQUITY AND LIABILITIES				
Equity				
Equity Share Capital	7.1	1,880.00	1,880.00	1,880.00
Other Equity	7.2	16,741.89	14,627.52	11,725.45
Equity attributable to Equity holders of the Company		18,621.89	16,507.52	13,605.45
Non-Controlling Interest	7.3	-	-	-
Total Equity		18,621.89	16,507.52	13,605.45
Liabilities				
Non-Current Liabilities				
Financial Liabilities				
(i) Borrowings	8.1	-	-	-
(ii) Lease Liabilities	8.2	0.04	0.25	-
(iii) Other Financial Liabilities	8.4	214.06	176.96	148.02
Provisions	9.1	6,123.80	6,188.86	5,335.39
Deferred Tax Liabilities (Net)	11.2	-	-	-
Other Non-Current Liabilities	10.1	292.83	332.80	372.82
Total Non-Current Liabilities		6,630.73	6,698.87	5,856.23
Current Liabilities				
Financial Liabilities				
(i) Borrowings	8.1	-	-	-
(ii) Lease Liabilities	8.2	0.21	0.23	-
(iii) Trade Payables	8.3			
(a) Total outstanding dues of micro, small and medium enterprises		9.65	9.59	11.78
(b) Total outstanding dues of Creditors other than micro, small and medium enterprises		1,087.83	1,001.31	1,023.46



		As at 31.03.2026	As at 31.03.2025 (Restated)	As at 01.04.2024 (Restated)
(iv) Other Financial Liabilities	8.4	1,552.12	2,302.18	1,862.95
Other Current Liabilities	10.2	3,826.02	2,808.02	2,965.78
Provisions	9.1	610.15	660.43	790.95
Current Tax Liabilities (Net)	11.1	-	-	-
Total Current Liabilities		7,085.98	6,781.76	6,654.92
Total Equity and Liabilities		32,338.60	29,988.15	26,116.60

The Accompanying Note No. 1 to 16 form an integral part of the Financial Statements.

In terms of our Report of even date

On behalf of the Board

For D N Dokania & Associates
CHARTERED ACCOUNTANTS
Firm Reg.No. 050042C

Sd/-
(Nilendu Kumar Singh)
 Chairman-Cum-Managing Director
 DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
 Director (Finance)
 DIN- 09665365

Sd/-
(CA Naman Kumar Dokania)
 Partner
 (Membership No. 417251)

Sd/-
(D. Devi Prasad)
 General Manager (Finance)

Sd/-
(Amaresh Pradhan)
 Company Secretary
 M. No.-F11264

Place : Ranchi
 Dated : 21st April, 2026



STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31.03.2026

(₹ in Crore)

		Notes	For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
(I)	Revenue from Operations	12.1	21,608.42	20,725.74
(II)	Other Income	12.2	545.50	718.95
(III)	Total Income (I+II)		22,153.92	21,444.69
(IV)	EXPENSES			
	Cost of Materials Consumed	13.1	970.97	1,006.68
	Changes in inventories of finished goods/work in progress and Stock in trade	13.2	(595.68)	(495.86)
	Employee Benefits Expense	13.3	7,049.50	6,616.94
	Finance Costs	13.4	122.01	94.93
	Depreciation/Amortization/ Impairment	13.5	994.26	889.42
	Stripping Activity Adjustments	13.6	(343.38)	(185.64)
	Contractual Expenses	13.7	2,357.15	2,358.99
	Other Expenses	13.8	8,242.38	5,716.09
	Total Expenses (IV)		18,797.21	16,001.55
(V)	Profit before Exceptional items and Tax (III-IV)		3,356.71	5,443.14
(VI)	Share of joint venture profit/(loss)		-	-
(VII)	Profit before Tax (V-VI)		3,356.71	5,443.14
(VIII)	Tax expense	14.1		
	Current Tax		457.65	1,294.85
	Deferred Tax		(61.91)	90.35
(IX)	Profit for the year (VII-VIII)		2,960.97	4,057.94
	Other Comprehensive Income	15.1		
	Items that will not be reclassified to profit or loss		220.28	(74.93)
	Income tax relating to items that will not be reclassified to profit or loss		(55.44)	18.86
	Items that will be reclassified to profit or loss		-	-
	Income tax relating to items that will be reclassified to profit or loss		-	-

		Notes	For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
(X)	Total Other Comprehensive Income		164.84	(56.07)
(XI)	Total Comprehensive Income for the year (XIV+XV) (Comprising Profit /(Loss) and Other Comprehensive Income for the year)		3,125.81	4,001.87
	Profit attributable to:			
	Owners of the Company		2,960.97	4,057.94
	Non-Controlling Interest		-	-
			2,960.97	4,057.94
	Other Comprehensive Income attributable to:			
	Owners of the Company		164.84	(56.07)
	Non-Controlling Interest		-	-
			164.84	(56.07)
	Total Comprehensive Income attributable to:			
	Owners of the Company		3,125.81	4,001.87
	Non-Controlling Interest		-	-
(XII)	Earnings per Equity Share (Face value ₹ 1,000 each):			
	(1) Basic (₹)		1,574.98	2,158.48
	(2) Diluted (₹)		1,574.98	2,158.48

The Accompanying Note No. 1 to 16 form an integral part of the Financial Statements.

In terms of our Report of even date

On behalf of the Board

For D N Dokania & Associates
CHARTERED ACCOUNTANTS
Firm Reg.No. 050042C

Sd/-
(Nilendu Kumar Singh)
 Chairman-Cum-Managing Director
 DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
 Director (Finance)
 DIN- 09665365

Sd/-
(CA Naman Kumar Dokania)
 Partner
 (Membership No. 417251)

Sd/-
(D. Devi Prasad)
 General Manager (Finance)

Sd/-
(Amaresh Pradhan)
 Company Secretary
 M. No.-F11264

Place : Ranchi
 Dated : 21st April, 2026



STATEMENT OF CASH FLOW (INDIRECT METHOD) –STANDALONE FOR THE YEAR ENDED 31.03.2026

(₹ in Crore)

		For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
CASH FLOW FROM OPERATING ACTIVITIES			
Profit before tax		3,356.71	5,443.14
Adjustments for :			
Share of Joint Venture		-	-
Depreciation, amortisation and impairment expenses		994.26	889.42
Interest and other income from investment		(321.22)	(379.14)
Finance cost		122.05	94.98
(Profit)/Loss on sale of Property, Plant and Equipment		0.73	4.61
Allowances & Provision		41.89	2.77
Write Off		-	-
Reversal of Stripping Activity Provision		(274.69)	21.10
Provision written back		83.92	153.96
Stripping Activity Adjustment		(343.38)	(185.64)
Foreign Exchange rate variance		-	-
Cash flows from operating activities before changes in following assets and liabilities		3,660.27	6,045.20
Trade Receivables		443.44	96.77
Inventories		(602.84)	(501.65)
Loans and Advances and other financial assets		(227.18)	(71.87)
Other current and non current Assets		399.60	(224.14)
Trade Payables		86.58	(24.34)
Other financial liabilities		(713.85)	452.97
Other current and non current liabilities		978.03	(197.78)
Provisions		178.58	381.71
Cash Generated from Operation		4,202.63	5,956.87



		For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
Income Tax (Paid)/Refund		(797.42)	(1,163.89)
Net Cash Flow from Operating Activities	(A)	3,405.21	4,792.98
CASH FLOW FROM INVESTING ACTIVITIES			
Payments for Property, Plant and Equipments and Intangible assets		(1,391.60)	(4,276.75)
Proceeds from Sale of Property, Plant and Equipments		0.84	8.96
Payments for Exploration and Evaluation Asset		(21.63)	(77.23)
Realisation of deposits/(Deposits) with Banks		(1,486.00)	676.31
Proceeds from/(Investment in) Mutual Fund, Shares etc.		(146.81)	314.99
Payment for Equity in Joint Venture		-	-
Interest received on Investment		303.72	332.01
Dividend received from Mutual Fund		-	-
Net Cash from Investing Activities	(B)	(2,741.48)	(3,021.71)

(₹ in Crore)

		For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
CASH FLOW FROM FINANCING ACTIVITIES			
Proceeds from /(Repayment of) non current borrowings		-	-
Proceeds from /(Repayment of) current borrowings		-	-
Repayment of lease liabilities (including interest)		0.27	0.26
Interest paid		(4.88)	(3.68)
Dividend paid on Equity shares		(1,011.44)	(1,099.80)
Net Cash used in Financing Activities	(C)	(1,016.05)	(1,103.22)
Net Increase / (Decrease) in Cash & Bank Balances (A+B+C)		(352.32)	668.05
Cash & cash equivalents as at the beginning of the period		1,073.20	405.15
Cash & cash equivalents as at the end of the period		720.88	1,073.20
Components of Cash and Cash Equivalents			
Balances with Banks			
in Deposit Accounts		6.50	-



		For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
in Current Accounts		464.26	633.08
Bank Balances outside India		-	-
ICDs with Primary Dealers		250.00	440.00
Cheques, Drafts and Stamps in hand		-	-
Cash on hand		-	-
Cash on hand outside India		-	-
Others		0.12	0.12
Total (Refer note 4.4 and note 8.1 for components of Cash and Cash Equi.)		720.88	1,073.20

1. The above statement of cash flow is prepared in accordance with the Indirect Method prescribed in Ind AS 7 - 'Statement of Cash flows.'
2. Cash outflow is of ₹ 97.86 Crore on account of Corporate Social Responsibility during the year ended 31.03.2026 (PY ₹ 57.98 Crore).
3. The Accompanying Note No. 1 to 16 form an integral part of the Standalone Financial Statements.
4. Refer to Note 16 (8) for details on the reclassification and restatement in accordance with Ind AS 8, Accounting Policies, Changes in Accounting Estimates and Errors, and Ind AS 1, Presentation of Financial Statements.

In terms of our Report of even date

For D N Dokania & Associates
CHARTERED ACCOUNTANTS
Firm Reg.No. 050042C

Sd/-
(CA Naman Kumar Dokania)
 Partner
 (Membership No. 417251)

On behalf of the Board

Sd/-
(Nilendu Kumar Singh)
 Chairman-Cum-Managing Director
 DIN- 09847503

Sd/-
(D. Devi Prasad)
 General Manager (Finance)

Sd/-
(Pawan Kumar Mishra)
 Director (Finance)
 DIN- 09665365

Sd/-
(Amaresh Pradhan)
 Company Secretary
 M. No.-F11264

Place : Ranchi

Dated : 21st April, 2026